

Document Title:	Management of Blanket Purchase Order (BPO)
Document Number:	SCD-PSP-PRT-GL-005
Revision Number:	06
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Reviewed by:	Mary Flor Bonifacio – Senior Manager, Supply Chain Business Support
Approved by:	Ricardo B. Aguas Jr. – Vice President, Supply Chain, Procurement and Strategic Planning
Effectivity Date:	01 March 2024

1. REFERENCE SOP: Source to Procure (SCD-PSP-PRT-OP-001)

2. DEFINITION OF TERMS:

- 2.1 **Blanket Purchase Order (BPO)** - is a type of Purchase Order (PO) issued for a specified period of time for repetitive purchases at an agreed price. This is issued to Supplier/s with a Contract or Letter of Award (LOA), as deemed necessary. For cases of LOA, this indicates a no commitment to any contractual obligation on the part of TRLEI unless issued with a PO, Contract or Contract Voucher (CV).
- 2.2 **Purchase Requisition (PR)** - is a document raised in the procurement system to initiate the procurement of goods and/or services and eventually converted into a PO or BPO. It contains the descriptions, specifications and quantity of the goods and/or services, required date delivery date, cost center. A PR is not a Purchase Order and therefore should never be used to purchase goods and/or services or be used as an authorization to pay an invoice from a Supplier.

3.0 RESPONSIBILITY:

3.1 Requestor / Business Unit (BU)

- 3.1.1 Raises PR for a requirement that shall be converted into a BPO based on the recommendation of Procurement from the Bid Tabulation.
- 3.1.1.1 PR quantity shall match the quantity from the approved bid tabulation except for BPOs supported by Contracts with more than 1 year duration / pricing validity, where yearly volume assessment is required.
- 3.1.2 Submits approved PR (supported within approved Budget/DP or Exec Ringi, if required).
- 3.1.3 Notifies Procurement on the approval of Ringi, if applicable and Bid Tabulation.

3.2 Procurement

- 3.2.1 Sources and procures goods and/or services per Requestor's requirement/s.
- 3.2.2 Assesses if the goods and/or services offered by the Supplier is aligned with the Requestor's needs.
- 3.2.3 Tabulates Suppliers' proposal and makes recommendation to the Requestor.
- 3.2.4 Negotiates commercial terms with the Supplier and ensures that the winning bidder is accredited.
- 3.2.5 Issues the official awarding through PO, Contract or LOA, as an initial confirmation, if necessary.
- 3.2.6 Responsible for coordinating with Contract Management Team if a contract shall be converted into a BPO.

3.2.7 **Responsible in coordinating with the BU to raise and secure approval on the Ringi, if applicable and PR**

3.2.8 **Responsible in converting the approved PR to a BPO**

3.3 Procurement Systems (Proc Sys)

3.3.1 Reviews the BPO before its endorsement by Procurement to the Business Unit.

3.3.2 Responsible for updating the BPO Contract code in the Contract Management module based on the email endorsement of Procurement.

3.4 Contract Management Team (CMT)

3.4.1 Responsible for recording and tracking Contract effectivity/expiration.

3.4.2 Responsible for assigning a Contract Code for BPO reference.

4. GUIDELINES:

4.1. BPO Creation

4.1.1. **Procurement** sends a screenshot of draft BPO for review and approval of the appropriate approvers with the following supporting documents:

a. Bid Tabulation

b. Quotation

c. Ringi, **if applicable**

d. All other supporting documents that is available (emails, exclusivity letter, etc.)

NOTE. Refer to *SCD-PSP-PRT-WI-014 Purchase Order Conversion (Blanket PO)*

4.1.2 Approval of this BPO conversion shall follow the Bid Tab Approval Matrix based on the total amount of PR.

4.1.3 Once approved, **Procurement** to coordinate with the Proc Sys for the BPO review.

4.2. BPO Review

4.2.1. **Procurement** sends a draft BPO review email request to Proc Sys with the following supporting documents:

a. Email Approval/s for the BPO creation with supporting documents

b. Contract Code endorsed by **CMT**, if applicable.

4.2.2. If the draft BPO is to be supported by a Contract, **Procurement** indicates the Contract Code given by CMT in the email for BPO review request to Proc Sys.

4.2.3. Proc Sys updates the **Manage Contracts** module based on the endorsed Contract Code.

4.2.4. Proc Sys checks the consistency and accuracy of the following details in the draft BPO from the documents provided:

a. Bill to Department – should be same as Authorized Release Account if BPO is restricted to one (1) Department/Cost center.

b. Contract Cap – PR Net Amount

c. Contract Type – should be Contract (if applicable), else it should follow the PRMB origin.

d. End Date – refers to **pricing** validity listed in bid tabulation **or** contract duration, and/or price validity extension as confirmed by the **Supplier**.

Note: The end date of the BPO with contract might be set earlier than the contract expiry date or bid tab pricing validity, as the BPO amount may be based on yearly BU consumption.

- e. Price Origin – should be Contract Pricing
- f. Supplier – same data in PR
- g. Currency – same data in PR (by default there should be a currency and cannot be blank)
- h. Order Qty – should be blank
- i. Price – same data in bid tab

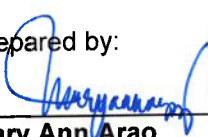
NOTE: If the BPO is intended for Multiple Departments, 'Bill to Department' portion should be blank to allow viewing access to all RedRock users.

- 4.2.5. Proc Sys sends an email confirmation to Procurement once review is completed.
- 4.2.6. After the BPO Review, **Procurement** proceeds in setting the BPO status to Active and sends a notification to the BU that BPO has been executed.
- 4.2.7. **For cases of Liquified Petroluem Gas (LPG) BPOs, due to volatility of its pricing, Procurement to do manual entry of the updated LPG price every month and shall attach the basis of the updated price.**
- 4.2.8. **Price amendment related to foreign currency should be approved by the Department Head of Supply Chain, Business Support.**
- 4.2.9. **Any amendment in BPO such as but not limited to end date, price or status should be approved following the SCD bid tab approvers prior updating the BPO details.**

5. REVISION HISTORY:

Revision No.	Effective Date	Details of Revision	Prepared by	Reviewed by	Approved by
00	04-Dec-2020	Initial	R.O. Basada	R. Aguas Jr.	
01	29-Apr-2021	- Change of Document number from SCD-BPT-SYS-GL to SCD-PSP-PRT-GL and Series Number - Revision of QMS Approval Matrix	S.P. Palaganas	R. O. Basada	R. B. Aguas Jr.
02	10-Aug-2022	- Change in process owner and Approver - Additional references for BPO End Date under 4.2.4.d	J. C. Miranda	R. O. Basada	R. P. Mempin
03	05-Sept-2022	Change in Approver	J. C. Miranda	R. O. Basada	R. B. Aguas Jr.
04	29-Sept-2022	- Revision of 4.1.1 & 4.1.2 for the emphasis of referring to Bid Tab Approval Matrix - Change of number alignment and wordings used	M. Arao	M. Bonifacio	R. B. Aguas Jr.

		• Change of Preparer & Reviewer			
05	02-May-2023	• Revised Section 4.2.4 b. Contract Cap, from PR Gross Amount to PR Net Amount	M. Arao	M. Bonifacio	R. B. Aguas Jr.
06	01-Mar-2024	• Added PR quantity should match forecasted quantity in bid tab under Responsibility of BU • Revised from "Buyer" to "Procurement" for standardization of term • Updated Section 4.2.4 d. End Date, added "or" to bid tab and contract duration as basis of the end date • Under 4.2.4 d. End-Date, added a Note that BPO end-date may be set earlier than contract expiry date or bid tab pricing validity • Inclusion of Section 4.2.7 for the necessary action of Procurement when handling LPG BPOs. • Amendment related to foreign currency will be approved by Department Head of Business Support. • Any other amendments will be approved following the SCD bid tab approvers.	M. Arao	M. Bonifacio	R. B. Aguas Jr.

Prepared by:  <u>27-Feb-2024</u> Mary Ann Arao Manager, Supplier Relationship Management & Quality Management System	Reviewed by:  <u>27 Feb 24</u> Mary Flor Bonifacio Senior Manager, Supply Chain Business Support	Approved by:  <u>02.29.2024</u> Ricardo Aguas Jr. Vice President, Supply Chain, Procurement and Strategic Sourcing
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